QUARTERLY EARNINGS ANALYSIS

BP Q4 2025 EARNINGS ANALYSIS

Report created on: 05.05.2026
Institutional Portfolio Analysis

1. Executive Summary

TICKER: BP.US | **EXCHANGE:** NYSE | **REPORT DATE:** March 23, 2026 | **FISCAL PERIOD:** Q4 2025 (Ended Dec 31, 2025)

BP is aggressively reshaping its global footprint to improve structural returns. Despite labor tensions in the U.S. and regulatory scrutiny in Australia, BP is a major beneficiary of the current Middle East energy volatility. Its transition toward "high-grading" assets—divesting lower-margin refineries and advancing high-yield deepwater projects—is central to its 2027 resilience strategy.

2. Key Metrics Dashboard

Metric	Q4 2025	YOY Change	Status
Revenue (TTM)	$187.6B	+3.6%	BULLISH
EPS (Forward)	$3.07	+6.6% (est)	BULLISH
Dividend Yield	4.46%	Stable	BULLISH
Net Debt	$26.4B (est)	-5.2%	BULLISH

3. Earnings Call — Key Takeaways

- **PORTFOLIO SIMPLIFICATION:** Interim CEO Carol Howle confirmed the sale of the Gelsenkirchen refinery to Klesch Group, raising structural cost-reduction targets to $7.5B by 2027.
- **UPSTREAM GROWTH:** Approval of the $5B Kaskida project in the Gulf of Mexico marks a return to major virgin field development in the region.
- **LOW CARBON:** Continued focus on "Azule Energy" JV in Angola with first gas production at Quiluma.

4. Share Price Reaction & Technical Analysis

EARNINGS SCORE: 72/100

Momentum Reasoning

The score balances strong tailwinds from Brent crude prices (surpassing $100) and LNG volatility with sector-specific headwinds. The lockout of 800 workers at the Whiting refinery and an Australian anti-competitive conduct probe introduce operational and legal risks that cap short-term valuation multiples.

5. Analyst Consensus & EPS Revisions

ANALYST CONSENSUS: BUY / HOLD (8 Buy, 9 Hold, 0 Sell)

PRICE TARGET: $40.38 (Current: $38.58)

ESTIMATE REVISIONS: Upward revisions noted by Goldman Sachs and HSBC due to LNG spot market exposure and "Strait of Hormuz" supply premiums.

6. Sentiment & News Flow

- **REFINERY DIVESTMENT:** Agreed to sell Gelsenkirchen refinery (12 mtpa capacity) to Klesch Group.
- **LABOR DISPUTE:** Locked out 800 union workers at Whiting, Indiana facility over contract terms and job cuts.
- **LNG UPSIDE:** Identified by Goldman Sachs as a top beneficiary of gas price surges due to strong trading desk performance and limited Qatar exposure.

10. CIO Conclusion & Positioning Recommendation

BP offers a compelling yield-and-growth mix for value-oriented investors. While the "strategic reset" under interim leadership creates some uncertainty, the underlying cash generation remains formidable. We recommend a "HOLD" position with a bias toward buying on geopolitical pullbacks, targeting the $42-45 range as divestment proceeds stabilize the balance sheet.

KASONA INSTITUTIONAL AUDIT

Senior Strategic Analyst & Governance Auditor

This report has been audited for compliance with the Kasona Institutional Standard.

Final Verification Date: 05.05.2026

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